



CONNECT

Transforming India's Retail Crisis: A New Marketplace for Local Businesses

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Two childhood friends, always eager to innovate — building the future of local commerce.

Executive Summary

India's retail landscape faces unprecedented disruption. Quick commerce giants such as Zepto and Blinkit have altered consumer behaviour at scale, and traditional kirana stores have faced rapid closures. **Connect** is a new-world, hyper-local marketplace designed to revive and empower local retailers by:

- Enabling quick digital onboarding (Aadhaar KYC + video verification) and easy storefront creation.

- Providing AI-powered inventory, a store-specific WhatsApp bot that reflects real-time stock, and simple analytics in local languages.
- Offering consumers geolocation-based discovery, AI image search, and WhatsApp-native purchase flows for immediacy.

1 The Giants Who Changed Everything & The Problem

Quick Commerce Impact — what changed

Quick commerce platforms promise ultra-fast deliveries (10–30 minutes), built dark-store networks, and attracted large capital inflows. This changed consumer expectations and value flows in neighbourhood economies.

What got broken

- **200,000** traditional kirana stores closed in a single year.
- Daily visits and sales for remaining stores have dropped significantly.
- Local suppliers and family-run businesses suffered revenue and liquidity pressures.
- Employment shifted from stable retail jobs to precarious gig roles.

2 What Connect Builds

2.1 Vision in one line

Connect is a hyper-local marketplace that **lets local merchants keep ownership of their customers and revenue** while giving them modern commerce tools that are easy to use.

2.2 Merchant journey — simple, practical, immediate

1. **Onboard:** download app → phone + Aadhaar KYC + short video verification (in Hindi / local language).
2. **Setting up Virtual store:** choose name, category, upload images, set prices, add discounts.
3. **Inventory:** add products using smartphone camera (rapid snap), barcode scan or voice input; AI suggests categories/prices.
4. **Automation:** a dedicated WhatsApp bot per store uses real-time inventory and handles discovery-to-purchase flows.
5. **Dashboard:** simple analytics and recommendations shown in plain language (Hindi / regional).

2.3 Key merchant features (what merchants get immediately)

- **KYC & onboarding** made local-language friendly and human-assisted where needed.
- **Inventory tools** (camera snap, quick scan, low-stock alerts).
- **WhatsApp commerce bot** — product lookup, buy now, and payment links tied to inventory.
- **Easy dashboard** showing “what sold”, “what to restock”, and “tips” in simple terms.

3 Consumer Experience — frictionless, local

3.1 How consumers find and buy

- **Geolocation-first discovery**: finds local stores within a 2–3 km radius with live inventory.
- **Image search**: upload photo of product → nearest local stores that have it.
- **WhatsApp conversational checkout**: clicking “Chat” opens the store bot with the selected product ready to buy.
- **Flexible fulfillment**: pickup, merchant-managed delivery, or scheduled delivery; multiple payment options including UPI and *khata*.

4 How We Deliver Value (Core Tech Product)

4.1 Inventory digitization engine

- Multi-modal capture: camera (rapid snap), barcode scanning, voice entry.
- Pareto approach: digitize the top 20% SKUs that drive 80% sales first.
- Ongoing lightweight workflows for merchants to update stock as they receive supplies.

4.2 WhatsApp-native store bot (real-time)

- Each store gets a bot that is *tied to its real-time inventory* (no stale canned replies).
- Bot answers product availability, makes recommendations, and handles payment redirection.
- Uses a small memory of context (customer preferences, allergy notes) but strictly scoped to that store.

4.3 AI-enabled search and image matching

- Image search maps consumer photos to inventory items in nearby stores.
- Fast index + small models at the edge + cloud matching for speed and relevance.

5 Adoption Strategy — humane and local

5.1 Human-first onboarding

Digital Partners (local on-ground team) will perform KYC, set up the first inventory snap, and demonstrate the first WhatsApp order — to show immediate value.

5.2 Community flywheel

- Influential local merchants adopt and act as validators.
- Early “success stories” are amplified locally to drive referrals.
- Referral-driven growth reduces acquisition cost and builds trust.

6 Two Paths — ONDC Integration & Self-built Marketplace

We keep two parallel options to give strategic flexibility.

Path A: ONDC integration (strategic option)

- Plug into an open protocol to make merchants discoverable across buyer apps.
- Advantage: faster visibility to a larger consumer pool.

Path B: Self-built marketplace (independent option)

- Build proprietary buyer-seller flows focused on hyper-local discovery and WhatsApp-native checkout.
- Advantage: tighter product control and merchant experience design.

Operational stance: Lead with pragmatic ONDC experiments while rapidly iterating the self-owned flows that provide differentiation.

7 Core Challenges & Mitigations

7.1 Merchant tech aversion

- **Mitigation:** simple vernacular-first UI, voice commands, and human partners for early onboarding.

7.2 Inventory chaos

- **Mitigation:** Pareto-first digitization, rapid-snap, and on-going lightweight inventory updates.

7.3 Logistics

- **Mitigation:** phase 1 — click & collect; phase 2 — merchant-managed delivery via existing local resources.

8 The Flywheel

- Local merchants adopt → visible revenue improvements → neighborhood validation → rapid referrals.
- Target: demonstrable merchant benefit within 48–72 hours of onboarding to accelerate adoption.

Closing Statement

Connect is designed to restore economic value and agency to neighbourhood retailers by combining AI, simple UX, WhatsApp-first commerce, and human-led onboarding. We focus on building a product that merchants find useful from day one, and customers find faster and more trustworthy than alternatives.

Next steps (suggested): prepare a lean pilot in one city with 200 merchants, measure first-order metrics (first WhatsApp order within 48 hours, inventory accuracy, merchant satisfaction), and iterate product onboarding flows.